

Content Of Ch 2 Part 1 include The Following :

- (1)-Auctions as EC Market Mechanisms
- (2)-Bartering and Negotiating Online
- (3)-E-Commerce in the Wireless Environment
- (4)-Competition in the Digital Economy and Its Impact on Industries

First : Auctions as EC Market Mechanisms...(EXAM EXAM)

Auction (Offline OR Traditional) : ☐ 	A competitive process in which a seller solicits consecutive bids from buyers forward auctions OR a buyer solicits bids from sellers backward auctions; prices are determined dynamically by the bids forward auction & backward auction  <u>Limitations of traditional offline auctions</u> * rapid process gives potential buyers little time to make a decision من ضمن عيوب المزادات الاوفلاين ان عملية البيع تتم بسرعة ، بالتالي المشتري مش بيكون متاح له وقت كافي انه ياخذ قرار الشراء
Electronic auctions (e-auctions) :	Auctions conducted online <u>Text-Book :</u> Is an e-business between auctioneers and bidders, which takes place on electronic marketplace
dynamic pricing :	Prices that change based on supply and demand relationships at any given time طبيعي ان اسعار المنتجات/الخدمات بتتغير بشكل مستمر طبقا لعلاقة العرض والطلب في كل وقت

○ Types of Auctions ...(EXAM EXAM)

هنا نتكلم علي انواع المزادات

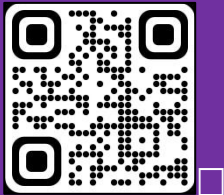
Forward Auction one-Seller & Many buyers :	An auction in which a seller entertains bids from buyers ; bidders increase price sequentially النوع دا من المزادات الاسعار فيه بتتزايد بالتدريج ، واللي بيقدم اعلي هو اللي بيكسب المزاد
--	---

مثلا : لو عاوز ابيع شقتي يعني انا اعتبر one Seller ولما بيدأ اعرضها للبيع ..هايجي اكثر من شخص يعني هاي تعرض عليا Many Buyers وكل شخص عنده عرض شراء بمبلغ معين ..وطبعا هاختر اعلي سعر

VIP Note :

- * Forward auction = Sell-Side
- * Forward auction Follow bidding System

Reverse Auction ☐
(One Buyer, Many Potential Sellers) : ☐



Auction in which the **buyer places an item for bid tender on a request for quote RFQ system**, potential suppliers bid on the job, with the **price reducing sequentially**, and the **lowest bid wins**, primarily a **B2B or G2B mechanism**

VIP Note :

- * Reverse auction = Backward auction = Tendering Auction = Buy-Side
- * Reverse auction Follow Tendering System

الخلاصة بقي

Forward auction (X) Reverse Auction

Test Your Self...(From Previous Exam)

(1)-which of the following is a system that **seller entertains bids from buyers; bidders increase price sequentially** ?

- a)forward auction b)bidding auction c)tendering system d)bidding System

Answ : A

(2)-**Large organizational buyers make large-volume or large-value purchases through _____, also known as reverse auctions**

- A) electronic tendering systems B) online direct marketing
C) name-your-own-price models D) viral marketing

Answer : A

○ IMPACTS OF AUCTIONS :

- ◆ Auctions as a **coordination mechanism**
- ◆ Auctions as a **Social Mechanism to Determine a Price**

المزادات بتساعد في تحديد السعر المناسب للمنتج

مثلا : لو معاك كاميرا ومش عارف لو بيعتها سعرها هايبقى كام ، ممكن تعرضها علي المزاد وتعرف سعرها في السوق

♦ Auctions as a **Highly Visible Distribution Mechanism**

المزاد يعتبر من ضمن محطات التوزيع
بالبلدي : ممكن تاجر اثاث يستخدم المزاد كامصدر لتوزيع منتجاته

♦ Auctions as an EC component in a Business Model

○ **name your own price " model :**

♦ Auction model in which a would be **buyer specifies the price** ,and other terms he or she is **willing to pay to any willing and able seller**

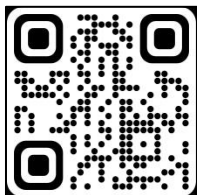
المشتري هنا داخل المزاد ومحدد هاشتري منتج في حدود كام
بمعني : دخلت مزاد ومعايا 10,000 جنيه ..لو فيه منتج عجبي وتمنه اكر من 10,000 مش هاشتريه
لانه تجاوز الميزانية بتاعتي

♦ It is a **C2B model** that was pioneered by Priceline.com

والمفهوم دا بيطبق في المعاملات اللي من نوع C2B

○ **Benefits of E Auctions ...(Text-Book)**

بنتكلم علي مميزات المزادات الالكترونية فيه



✱ **Benefits to Sellers :**

- ✱ **increased Revenues from broadening bidder base and shortening Cycle time ,Can sell Anywhere globally**
- ✱ **Opportunity to bargain instead of selling at a fixed price , Can sell any time and conduct frequent auction**
- ✱ **Optimal Price setting determined by the market more buyers**
- ✱ **Sellers can gain more customers dollars by offering items directly Saves on the commission to intermediaries ;also Physical auctions are very expensive compared with e-auctions**
- ✱ **Can liquid large Quantities quickly**
- ✱ **improved customer relationship and Loyalty in case of Specialized B2B auction sites and electronic exchanges**

✧ Benefits to Buyers :

- ★ Opportunities to find unique items and collectibles
- ★ Entertainment ,Participation in e-auction can be entertaining and exciting
- ★ convenience .buyers can bid from anywhere ,even with a cell phone ; they do not have to travel to an auction Place
- ★ Possibility of finding bargains ,for both individuals and organizations

✧ Benefits of E-Auctioneers :

- ★ Higher repeat Purchases
- ★ High " Stickiness" to the website Tendency of customers to stay at sites longer and come back more often
- ★ Auction Sites are frequently " stickier " than fixed-prices sites
- ★ Stickier sites generate more ad revenue for the e-auctioneer
- ★ Easy Expansion of the auction business

○ Limitations of E-Auctions

- Minimal security
- Possibility of fraud
- Limited participation

Second : Bartering and Negotiating Online

Bartering : ☐ 	The exchange of goods and services without the exchange of money المقايضة تعني : تبادل سلع /خدمات مقابل سلع وخدمات اخري والعملية دي بتتم بدون تبادل فلوس
E-bartering (electronic bartering) :	Bartering conducted online, usually in a bartering exchange
bartering exchange :	A marketplace in which an intermediary arranges barter transactions الموقع /الوسيط : اللي بيتتم من خلاله عملية التبادل بين الطرفين ، والموقع بيستفاد من عملية التبادل بأكثر من شكل من ضمنها : الاعلانات ، عمولة علي كل عملية تبادل ، او يكون باشتراك
Online Negotiating :	هنا بنتكلم علي الحالات اللي بيتتم فيها عملية المفاوضة (الفصل في السعر) يعني ▪ Negotiated pricing commonly is used for expensive or specialized products لو المنتج مميز وسعره غالي جدا

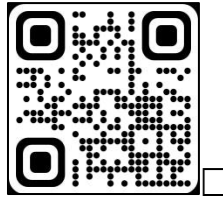
- Negotiated prices also are popular when **large quantities are purchased**

لو العمل هاشتري كميات كبيرة ، اكيد هايحاول يقلل من السعر

- Much like auctions, negotiated prices **result from interactions and bargaining among sellers and buyers**

Third : E-Commerce in the Wireless Environment

Mobile Computing :



- Use of **portable devices**, including : smart cell phones, usually in a **wireless environment**
- It **permits real time access to information, applications, and tools** that, until recently, were **accessible only from a desktop computer**

Mobile Commerce...(M-Commerce) :

E-commerce conducted **via wireless devices**

اي عملية تجارة الكترونية سواء بيع / شراء تمت باستخدام الموبايل تسمى M-Commerce

M-Business :

The **broadest definition of M-commerce**, in which e business is conducted in a wireless environment

اي عملية اضافية بجانب عمليات البيع / الشراء تمت باستخدام الموبايل تسمى M-Business

مثال الخلاصة : لو اشتريت موبايل من علي امازون باستخدام الموبايل تسمى M-Commerce اما لو صاحب

شركة شحن بيتابع حركة السواقين بتوعه من خلال الموبايل تسمى M-Business

(T/F) :

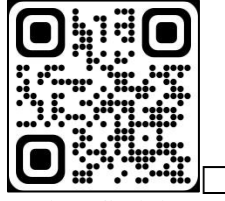
- * M-Business is More broadest definition than of M-commerce ☒

The Mobility Revolution

Organizations are **embracing mobilized**

في الوقت الحالي الشركات اللي عاوزه يكون ليها تواجد الكتروني بتفضل ان تواجدها ياخذ شكل موبايل ابلنكشن مش موقع ..تفتكروا داليه ؟ تعالي نشوف

○ Computing technologies for several reasons :



- ★ Improved productivity of workers in the field
- ★ Wireless telecom support for mobility is **growing quickly**
- ★ More applications can run both online and offline
- ★ The **prices of notebook computers**, wireless handhelds, and **smart phones** continue to fall as their capabilities increase

○ M-Commerce Adoption :

Although there are currently many hurdles to the widespread adoption of M-commerce, many companies are already shifting their strategy to the mobile world

أغلبية الشركات في الوقت الحالي : بدأت تغيير الاستراتيجية بتاعتها وتبقي كل العمليات التجارية الخاصة
بيها من خلال الموبايل ابليكشن

○ location based commerce...(LBC) :

An M-commerce application targeted to a customer whose location, preferences, and needs are known in real time

هنا مفهوم التجارة بيبقي لكل الأشخاص المتواجدين في موقع معين ، وفي وقت معين من خلال مسجات علي
الموبايل

مثال بسيط : وانتا في كارفور وقت الظهر كذا ، بتلاقي ان فيه مسجات اتبعثلك علي موبايلك من براندات
موجودة في كارفور يبلغوك بعروض ودا يشجعك انك تروح البراندات دي وتأخذ فكرة عن العروض

Fourth :Competition in the Digital Economy and Its Impact on Industries

Internet ecosystem :

The business model of the Internet economy

○ Competitive Factors Online Transactions Allow :

هنا بنتكلم علي المميزات اللي بتعود علي الشركة/العميل لما يقوم بالعمليات بتاعته بشكل الكتروني

- ✧ Lower search costs for buyers
- ✧ Lower prices
- ✧ Speedy comparisons
- ✧ **(IMP)**...Differentiation and personalization
- ✧ Barriers to entry are reduced
- ✧ Virtual partnerships multiply
- ✧ Market niches abound
- ✧ Customer service

Definations For Exam

Differentiation :	Providing a product Or service that is unique
Personalization :	The ability to tailor a product, service, or Web content to specific user preferences

○ **Porter s Competitive Analysis in an Industry**

Competitive forces model :

Model devised by Porter that says that **five major forces of competition determine industry structure and how economic value is divided among the industry players in an industry**; analysis of these forces **helps companies develop their competitive strategy**

○ **Impacts of EC on Business Processes and Organizations**

هنا سنتكلم علي التأثير/التغيير اللي حصل في نواحي البزنس المختلفة زي الصناعة/الموارد البشرية/ المحاسبة
بفضل التجارة الالكترونية

➤ **Impacts on manufacturing**

Build-to-order (**pull system**) :

- A manufacturing process that **starts with an order usually customized**
- Once the **order is paid for**, the **vendor starts to fulfill it**

بفضل التجارة الالكترونية نظام الشركة اتحول من ال Pull-System لنظام ال Push System
بمعني : بدل ماتبقى البضاعة موجودة علي الرف ، والشركة مستتية العميل يشتري ، العميل يقدر يحدد مواصفات المنتج ويدفع ثمنه وتبدأ الشركة في تجهيزه

Examples :

- * Real-time demand-driven manufacturing
- * Virtual manufacturing
- * Assembly lines

➤ **Impacts on Finance and Accounting**

- E-markets require **special finance and accounting systems**
- Most notable of these are **electronic payment systems**

بفضل التجارة الالكترونية حصل عدة تغيرات في النظام المحاسبي للشركة سواء في طريقة تسجيل المعاملات ، طريقة الدفع

○ **Impacts on Human Resource Management and Training**

- ★ EC is changing how people are **recruited, evaluated, promoted, and developed**
- ★ EC also is changing the way **training and education** are offered to employees

★ Companies are **cutting training costs by 50% or more**, and **virtual courses** and programs are mushrooming

حتى عملية استقطاب الموظفين/التدريب أصبحت اونلاين من خلال مواقع متخصصة في الكورسات والتطوير
زي Coursera , Udemى ودا طبعا هايوفر على الشركة تكلفة

End of ch 2



MCQ :

1-An auction in which a seller entertains bids from buyers, and the bidders increase price sequentially best Defines :

- A) forward auctions. B) reverse auctions. C) bidding auction system .
D) tendering system

2-An auction in which the buyer places an item for bid on a request for quote system, potential suppliers bid on the job, with the price reducing sequentially, and the lowest bid wins; this describes

- A) forward auctions. B) reverse auctions. C) bidding auction system
D) tendering system

3-A marketplace in which an intermediary arranges barter transactions best defines

- A) bartering exchange. B) forward auction. C) blog. D) Web portal

4-Auction site like eBay tend to use -----Pricing

- a)Fixed b)Utilization c)Trigger d)Dynamic

5-Benefits of e-auctions to sellers include :

- A) anonymity. B) convenience of bidding anywhere and any time.
C) lack of differentiation. D) optimal price is determined by the market

6-Benefits of e-auctions to buyers include

- A) liquidating large quantities quickly. B) higher repeat purchases.
C) optimal price setting determined by the market.
D) opportunities to find unique items

7-An online auction such as e-bay has transactions that are predominantly: 10)

- A) Business to consumer B) Business to business C) Consumer to business
D) Consumer to consumer E) None of the above

Answer :

1	2	3	4	5	6	7
A	B	A	D	D	D	D

T/F :

1-An auction is a competitive process and market mechanism that uses a competitive process by which a seller solicits consecutive bids from buyers or a buyer solicits bids from sellers

2-**Forward** auctions are bidding or tendering systems in which the buyer places an item for bid on a request for quote RFQ system; then potential suppliers bid on the job, with the price reducing sequentially, and the lowest bid wins.

3-Reverse auctions are primarily B2C

4-E-auctions are becoming less important selling and buying channels for companies and individuals

5-The major limitations of e-auctions are minimal security, possibility of fraud, and a limited participation

6-Bartering is the exchange of goods and services

7-Tendering is the model in which the buyer requests would-be sellers to submit bids ; the lowest bidder wins

□

Answer :

1	2	3	4	5	6	7
T	F (Reverse)	F (B2B)	F	T	T	T